# Ch. 27.3. CW

Principles of Macroeconomics

February 24, 2026

## 27.3. The Market for Loanable Funds

1. The government institutes an investment tax credit – a tax reduction for any firm that buys capital goods. What effect does the policy have on the market for loanable funds? Please use a supply and demand diagram in your response.

2. The government starts with a balanced budget, but then increases its spending so that it's running a budget deficit.

   (a) What effect does the budget deficit have on national saving?

   (b) What effect does the policy have on the market for loanable funds? Please use a supply and demand diagram in your response.

   (c) You should have found that an increased budget deficit decreased investment. We call this phenomenon crowding out because when the government borrows to finance its deficit, it crowds out private borrowers financing investment. The Republican party used to cite crowding out regularly when they advocated for spending cuts.

3. If a popular TV show on personal finance convinces Americans to save more for retirement, the _____ curve for loanable funds would shift, driving the equilibrium interest rate _____.

   (a) supply; up

   (b) supply; down

   (c) demand; up

   (d) demand; down

4. If the business community becomes more optimistic about the profitability of capital, the _____ curve for loanable funds would shift, driving the equilibrium interest rate _____.

   (a) supply; up

   (b) supply; down

   (c) demand; up

   (d) demand; down

5. Which of the following policy actions would unambiguously reduce the supply of loanable funds and crowd out investment?

   (a) an increase in taxes and a decrease in government spending

   (b) a decrease in taxes together with an increase in government spending

   (c) an increase in both taxes and government spending

   (d) a decrease in both taxes and government spending